CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
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Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Enron Announcements <enron.announcements@enron.com>
Sent: Mon, 19 Jun 2000 13:24:00 -0700 (PDT)
To: Enron VP'S and MD's <enron.md's@enron.com>
Subject: Update on Acquisition and Integration of MG plc

By now, most of you are aware that Enron will be acquiring London-based MG Plc, one of the world■,s leading metals marketers. In connection with our on-going activities relating to MG Plc, I thought it would be helpful to provide you with a brief overview of on our future new metals business, to further explain the reasons underlying the acquisition and to update you on the integration team■,s accomplishments to date.

What is MG Plc?
MG Plc is a leading, independent international metals trading business, which provides a variety of services to the global metals industry. The business dates back to 1881 when it was the German Metallgesellschaft Group and was active in trading metals from its head office in Frankfurt. Today, MG is one of the world■,s top non-ferrous metals brokers and market makers, the world■,s leading independent copper merchant and a leading merchant of many other non-ferrous metals.

MG is comprised of two core areas of expertise, the Financial Services and Merchanting Divisions. The Financial Services Division was formed in 1970 to provide market-making and trading services to the MG■,s physical metals trading business through futures trading as a member of the London Metal Exchange and, at a later date, as a member of COMEX in New York. In the late 1980s, as a result of London■,s growing leading role in the metals industry, MG established a merchant trading office in London. In 1986, MG developed its warehousing division with the acquisition of Henry Bath. In 1999, the Merchanting and Financial Services Divisions, including warehousing, were combined into a single company, which was floated on the London Stock Exchange. Currently, MG■,s core trading offices are located in London and New York with warehouse operations in Liverpool, Humberside, Rotterdam, New Orleans, New Haven, and Singapore. It has merchanting offices in Lima, Santiago, Los Angeles, Chicago, Stockholm, Cologne, Hamburg, Frankfurt, New Delhi, Shanghai, Beijing, Hong Kong, Seoul, Tokyo and Melbourne.

What does the Merchanting Division do?
The Merchanting Division is the world■,s leading independent copper merchant, one of the top three independent merchants of copper concentrates and nickel and one of the leading European merchants of recycled non-ferrous metals. The division also trades in other non-ferrous metals on the London Metals Exchange (LME), including lead, tin, zinc, aluminium and brass.

The Merchanting Division engages in the following main activities:

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? Merchanting of Non-ferrous Metals ■) MG trades as a principal with producers and consumers, buying and selling non-ferrous metals and concentrates (particularly copper, aluminium and nickel), exchanging qualities and locations and lending and borrowing metals.
? Global Stockholding ■) MG holds stocks of non-ferrous metals at warehouses around the world.
? Merchanting of Recycled Metal ■) MG trades as a principal with suppliers and consumers of non-ferrous metal for recycling.
? Terminal Market Operations ■) MG participates in the LME and COMEX using hedging, arbitrage and position management to support its merchanting activity.

What does the Financial Services Division do?
The Financial Services Division is one of the leading LME members and, based on the volume of LME metals stored, is one of the leading LME metals warehousing businesses.

The Financial Services Division engages in the following main activities:

? Brokerage Activities ■) MG executes orders as a broker for clients in LME and COMEX contracts.
? Market-Making ■) MG is a market-maker for both futures and options contracts and COMEX and OTC contracts.
? Warehousing ■) MG stores metals and other goods in eleven locations in Europe, the United States and Asia.

MG has also begun to prepare to trade non-ferrous metals using the internet as its platform. On 10th February, MG announced the formation of a joint venture with Internet Capital Group, Inc. and Safeguard International Fund, L.P. to develop an internet marketplace for trading non-ferrous metals. The joint venture, called EMETRA, intends to establish a world-wide business-to-business, e-commerce trading platform for the non-ferrous metals markets, including physical trading and the trading of futures and options contracts.

Why is Enron acquiring MG?
Enron is committed to expanding its position as a global leader in wholesale markets. By expanding into new wholesale markets, such as non-ferrous metals, Enron expects to leverage its wholesale expertise and will be able to offer customers new products and solutions to address their business needs which link different commodities and inputs.

MG will provide Enron with a number of important benefits. At the same time, Enron expects that MG will significantly benefit from its association with

Enron. Some of the benefits we envisage include:

? The opportunity to combine Enron■,s core competencies in trading, finance and origination with MG■,s global position in trading non-ferrous metals.

? The ability for both Enron and MG to access new clients, particularly in the United States and Europe.

? The ability to cross-market both existing products and new products such as bundled products that offer combined metals and power outsourcing.

? The ability to leverage the opportunities available to MG by increasing its financial strength and the resources available to it.

? The chance to overlay the EnronOnline business-model on the metals industry to increase liquidity and contract market share.

What remains to be done?
Merging the business operations of two entities, even highly motivated companies such as Enron and MG, has been and will continue to be a formidable and daunting exercise. Having a shared vision facilitates rapid integration, but there are many complicated and complex tasks that remain. During the conditional offer period, Enron and MG are taking steps to prepare for a